Uber Direct

Strategy & Planning

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Uber’s Mission

We reimagine the way the world moves for the better

We are Uber. The go-getters. The kind of people who are relentless about our mission to help people go anywhere and get anything and earn their way. Movement is what we power. It’s our lifeblood. It runs through our veins. It’s what gets us out of bed each morning. It pushes us to constantly reimagine how we can move better. For you. For all the places you want to go. For all the things you want to get. For all the ways you want to earn. Across the entire world. In real time. At the incredible speed of now.

Executive Summary

Introduction:

- Uber Direct LATAM performance assessment to identify operational gaps and city-level improvement opportunities.

Objective:

- Build a structured performance view to identify operational improvement levers, unlock profitability and rank cities through a Health Score model

Solution:

- Designed a dual-framework approach:
  1. Rentability Metrics Analysis to map profitability gaps and operational inefficiencies.
  2. City Health Score to compare cities using weighted KPIs and identify where to allocate focus and resources.

Results:

1. **Rentability Metrics:**
   - Identified the four core drivers impacting profitability: cancellations, batching, dispatch attempts and cycle time.
   - Prioritized five operational levers with immediate improvement potential.
2. **City Health Score**

- Ranked cities using a structured scoring model — revealing Stormlands as top performer and Riverland as highest-potential but constrained by cancellations.

Conclusion

- Uber Direct can unlock meaningful operational and financial upside by focusing on targeted reliability improvements and prioritizing resources in high-potential cities. The combined framework gives a repeatable, data-driven method for ongoing performance management

Strategic Diagnostic

Rentability Metrics

City Health Score

Conclusion

Delivering value beyond the app with Uber Direct

A fast, scalable last-mile solution powering merchants with on-demand delivery

On-Demand & Same-Day Last-Mile Delivery

Fast delivery infrastructure that enables merchants to fulfill orders in minutes or hours, meeting customer expectations for immediacy

Leveraging Uber's Network Density & Technology

Built on top of Uber's extensive courier network and advanced dispatch algorithms, ensuring speed, reach, and competitive unit economics

White-label delivery solution

Merchants keep full ownership of their brand and customer experience while Uber provides the last-mile operational backbone.

Flexible Integration

Multiple integration options enable seamless adoption, real-time tracking, and automated workflows for businesses of all sizes

Source: Uber web site

Industry dynamics reshaping last-mile delivery in LATAM

Industry Analysis

Market Size	**LATAM**	US$ 14–18 Bi	CAGR (22-24)	**LATAM**	15–18%	CAGR (26-28)[2]	**LATAM**	15–20%
	Brazil	US$ 6–8 Bi		**Brazil**	18–22%		**Brazil**	10–14%

Political[1]
- Fragmented rules for couriers
- Gig-worker frameworks

Economic
- Asset-light logistics
- E-commerce and omnichannel growth are boosting same-day demand
- Volatile market conditions

Social
- High expectations for fast, reliable and trackable delivery
- Merchants value white-label customer experiences

Technological
- API, POS, and automation adoption is rapidly increasing among merchants.
- Real-time tracking and route optimization significantly enhance unit economics

Environmental
- EV incentives
- Carbon footprint concerns

Legal
- Employment classification and labor Issues
- Robust SLA and liability compliance to enterprise contracts

Source: 1. Political and Regulatory; 2. Expected; Statista: Latin America – Last-Mile Delivery Market Size; Latin America – E-commerce Growth and Shipment Volume; Brazil – Parcel Delivery Market Value; Brazil – Last-Mile Delivery Revenue & Forecast; McKinsey: LATAM e-commerce growth, fulfillment digitalization, same-day adoption trends, and regional differences across Brazil, Mexico, and Colombia; BCG: delivery growth in emerging markets, post-pandemic acceleration, and express fulfillment penetration; Bain & Company: LATAM e-commerce growth forecasts, logistics and last-mile trends, and omnichannel expansion in Brazil and Mexico.

A differentiated position built on network density, technology, and white-label B2B capabilities

Competitive Landscape and Advantage

Company	Key Market	Operational Model	Segment / Customers
Uber Direct	Global Footprint LATAM focus	On-demand, real-time dispatch; API-first; white-label	Enterprise/SMB[1]; On-Demand; Same-Day; Multi-Vertical
Loggi	Brazil	Routed parcel network; scheduled delivery; hybrid fleet	E-commerce; SMB/Enterprise; Parcels (D+1/D+2)
Lalamove	Mexico, Brazil & Chile	Point-to-point couriers; gig fleet; instant quotes	SMBs; Express Delivery; Same-Day
Mercado Envios	LATAM	Fulfillment + parcel network; cross-docking; scheduled	Marketplace Sellers; E-commerce; D+1/D+2
Rappi	LATAM (9 countries)	On-demand marketplace couriers; app-driven	Grocery; Food; Pharma; On-Demand
iFood	Brazil	Marketplace fleet; food-first last-mile	Restaurants; Grocery; Marketplace Last-Mile

Uber Direct's Strategic Advantages:

- Network Density & Coverage
- Best-in-Class Dispatching & Technology
- White-Label Delivery at Scale
- Flexible Integration for All Merchant Sizes
- Multi-Vertical Capabilities
- Superior Unit Economics
- Brand Trust & Operational Reliability

Source: Companies website, 1. Small and Medium Businesses

Understanding the market dynamics enables us to identify where Uber Direct must optimize internally to sustain growth

From Industry Context to Operational Priorities

Industry & Competitors

- A fast-growing and competitive LATAM landscape makes operational efficiency a critical differentiator

Operational Levers

- Rentability, speed, and cost-per-order are the core drivers of merchant satisfaction and unit economics

Case Analysis

- The next step is to evaluate performance through rentability and city health scoring

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Rentability Metrics

Objective

Framework

Performance KPIs

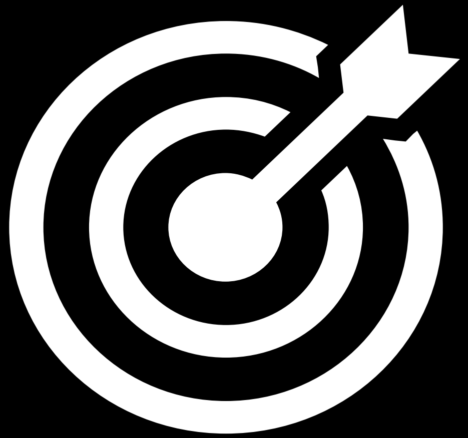
Critical Elements

Recommendations

Action Plan

Understanding what is driving value leakage on Uber Direct

Objective



01

Key Operational Drivers

Identify the KPIs that best measure the rentability of the operations

02

Value Breakpoints

Identify the operational moments where value is lost

03

Map Performance Pathways

Focus on continuous improvement and impact in the business

Rentability Metrics

Objective

Framework

Performance KPIs

Insights

Recommendations

Action Plan

A structured approach to uncover how operational behaviors impact the business

Framework

Step 1
- Understand the Direct operational model
- Identify behaviors that influence profitability

Business Context

Step 2
- Define the operational KPIs that drive

Core KPIs

Step 3
- Analyze performance across cities and merchants

Data Analysis

Step 4
- Recommend targeted opportunity
- Define an actionable plan
- Estimate the value impact

Strategic Actions

Rentability Metrics

Objective

Framework

Performance KPIs

Insights

Recommendations

Action Plan

The right combination of indicators help Uber Direct evaluate the business performance and drive actions

Performance KPIs

Total deliveries
- Measures overall demand and operational volume across all cities and merchant

On-time / Cycle Time Deliveries
- Percentage of deliveries completed within the expected delivery window

Completion Rate
- Percentage of orders successfully delivered to the customer

City and Merchant Performance
- Evaluates how operational KPIs vary by geography and merchant profile

Cancel Rate
- Share of orders canceled by merchant, courier or system before completion

Dropoff
- Measure the time from pick up to successful delivery at customer location

Follow up indicators that impact rentability, profitability and operational performance is crucial

Performance KPIs

Rentability Metrics

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The drivers of operational performance leakage

Insights

High Completion Rate of Orders

- Data shows a solid completion rate

+97%

Concentrated Cancellations Orders

- Order cancelation is clustered in a particular merchants or cities
  - Grocery Meister – 511 cancellations
  - Lake City – 336 cancellations

Delivery Inefficiencies

- Indicators above the best practices
  - Batch size 1.86 avg
  - Dispatch attempts 1.29 avg

Delivery Cycle Time

- Significant variance in delivery cycle signals operational instability
  - 31.1min and 51.5min

Rentability Metrics

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Performance KPIs

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Raising the bar of operational performance

Future Outlook

Reduce cancellation hotspots

Launch a “Cancellation Recovery Sprint”, improve merchant readiness flow, use pre-dispatch merchant confirmation and implement dynamic wait-time thresholds

Optimize batching efficiency

Increase courier rebalancing in peak hours, improve route optimization and enable dynamics batching rules

Reduce dispatch attempts

Improve supply allocation in peak hours, introduce “smart retries” and increase supply availability via incentives in hotspots

Stabilize delivery cycle time

Act together with high-volatility merchants to standardize workflows

Merchant operational enablement program

Standardized onboarding training, influence the API adoption with a prep-time monitoring model

Rentability Metrics

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Action Plan

Executing the drivers to reach operational excellence performance

Action Plan (1/2)

Actions	Teams	Responsible	Success Metrics	Priority	Status	Timeline
1. Reduce cancellation hotspots 1.1 Prioritize cities 1.2 Merchant readiness audit 1.3 Implement pre-dispatch conformation 1.4 Introduce dynamics wait-time thresholds	City Operations, Merchant Ops and Support Ops	City Ops Lead and Merchant Ops Manager	Cancellation rate	High	Pilot Stage	4-6 weeks
2. Optimize batching efficiency 2.1 Courier rebalancing for peak windows 2.2 Dynamic batching logic (Density-based) 2.3 Route optimization improvements 2.4 Pilot batching playbook	Marketplace team, Engineering, Ops Excellence and City Ops	Marketplace PM and Ops Excellence	Avg Batch size	High	In Progress	6-8 weeks
3. Reduce dispatch attempts 3.1 Review and adjust matching rules 3.2 Introduce smart retries logic 3.3 Improve supply incentives for hotspots 3.4 Increase courier availability in peak	Marketplace Engineering, Supply growth and City Ops	Marketplace PM and Supply Lead	Dispatch Attempts	High	In Progress	4-6 weeks

Executing the drivers to reach operational excellence performance

Action Plan (2/2)

Actions	Teams	Responsible	Success Metrics	Priority	Status	Timeline
4. Stabilize delivery cycle time 4.1 Identify merchants with volatile prep.-time 4.2 Deploy "ready-to-pick-up" workflow 4.3 Apply pre-time SLAs for high volume merchants 4.4 Improve routing accuracy in specific cities	**Merchant Ops, Merchant Success, Engineering and City Ops**	**Merchant Ops Lead and Engineering PM**	**Delivery cycle time**	**High**	To-do	**8-10 weeks**
5.0 Merchant operational enablement program 5.1 Standardize onboarding process 5.2 API and POS integration push 5.3 Prep-time monitoring dashboard 5.4 Training + quarterly review	Merchant Success, Sales Ops, Tech Enablement and Merchant Ops	Merchant Success Manager	API POS Integration	Medium	To-do	Continuous

Meaningful operational gains expected from implementation

Impact Model

Operational Effect	Estimated Impact
Reduce cancellation hotspots	Recover lost demand and protect revenue
Optimize batching efficiency	Improve delivery cost efficiency
Reduce dispatch attempts	Improve matching rentability and reduce the churn in assignments
Stabilize delivery cycle time	Boost rentability and merchant satisfaction
Merchant operational enablement	Streamline pickup flow and reduce operational variability

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City Score

Evaluating cities performances through score methodology

Context

City Score

Compare each city's operational performance using a unified scoring system

Key Drivers

Identify the operational factor that explain performance gaps across cities

City Health Score

Objective

Framework

City Score

Systematic approach to identify operational performance

Framework

Define rules for the analysis

Set the bar for operational excellence

Translate data into a comparable score

City Health Score

Objective

Framework

City Score

A Structured View of Operational Performance

City Score

KPIs	Weights	Crownlands	Stormlands	Dorne	Westerlands	Riverland	Irond Island
Gross Booking	0.25	21.10	84.56	11.80	51.19	100.00	6.32
Completion Rate	0.20	95.67	100.00	96.45	95.75	90.63	96.13
On-Time / Cycle Time	0.15	73.86	100,00	90.91	85.23	88.64	90.91
Cancelation Rate	0.30	17.85	100.00	20.94	18.15	9.13	19.57
Population	0.10	6.12	12.16	68.63	82.35	100.00	2.92
Total	1.00	41.46	87.35	49.02	58.41	69.16	40.61

Score is a 0-100 index, where 100 is best-in-class.

Highlights:

- Stormlands is the clear top performer driven by best-in-class reliability and minimal cancellations;
- Riverland combines the strongest demand with good operational performance, but high cancellations prevent it from leading;
- Westerlands shows stable reliability but suffers from cancellation hotspots that limit scalability;
- Crownlands and Irond Island underperform for different reasons: low demand vs. operational fragility;
- Dorne shows strong operations but remains a small, lower-priority market

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Takeaways

Rentability Metrics

- Operational reliability is the strongest profitability driver
- Merchant and courier behaviors directly impact unit economics
- Focused operational levers can unlock meaningful gains

City Score Health

- City performance varies widely across the network
- Population and demand scale do not guarantee healthy operations
- Clear prioritization emerges for resource allocation

Uber Direct